

****I. Executive Summary: Global Forex Market Dynamics**** The foreign exchange market is currently dominated by a clear and persistent theme of monetary policy divergence among the world's major central banks. This divergence has created a fertile ground for sustained trends, particularly favoring the U.S. Dollar, while simultaneously introducing significant volatility around key economic data releases. The overarching sentiment is one of cautious risk-taking, tempered by the reality that global inflationary pressures, while moderating, remain stubbornly above central bank targets. The "higher for longer" interest rate narrative, once a theoretical concept, is now the lived reality for the Federal Reserve and, to a lesser extent, the Bank of England, creating a powerful tailwind for their respective currencies. The U.S. Federal Reserve remains the central anchor of the market. Having held the Fed Funds Rate at a restrictive 5.50% for several consecutive meetings, the Committee has successfully projected an image of unwavering resolve against inflation. Recent communications have consistently pushed back against market expectations for imminent rate cuts. Chair Powell's latest statements emphasized that while the disinflationary process is underway, the Committee requires a much higher degree of confidence that inflation is on a sustainable path back to the 2% target before considering any policy easing. This hawkish stance is underpinned by a U.S. economy that, while slowing, has proven remarkably resilient. Labor markets have softened from their post-pandemic tightness but remain robust, and consumer spending continues to provide a solid floor for economic activity. Consequently, the U.S. Dollar, as measured by the DXY index, continues to trade near its recent highs, benefiting from both its significant yield advantage and its traditional safe-haven appeal during periods of geopolitical uncertainty. In stark contrast, the European Central Bank (ECB) and the Swiss National Bank (SNB) have already embarked on a cautious easing cycle. The SNB was the first major central bank to cut rates in early 2025, a decisive move prompted by a rapid fall in Swiss inflation. The ECB followed with a 25-basis-point cut in the second quarter, a move that was largely priced in by markets. However, the ECB's accompanying statement was conspicuously hawkish, warning that the cut was not necessarily the start of a sustained easing cycle. This "hawkish cut" reflects the deep-seated dilemma facing the Eurozone: economic growth is fragile, particularly in its industrial powerhouse, Germany, yet core inflation remains sticky. This leaves the ECB in a precarious position, unable to provide aggressive stimulus for fear of re-igniting price pressures. The Euro (EUR) has therefore been on a structural downtrend against the USD, with the widening interest rate differential acting as a primary driver for capital flows out of the Eurozone. The Bank of Japan (BoJ) represents the third distinct pillar of this divergent landscape. In a historic move earlier in the year, the BoJ officially ended its Negative Interest Rate Policy (NIRP) and Yield Curve Control (YCC), marking a monumental shift after decades of ultra-loose policy. However, this normalization has been exceptionally gradual. With the policy rate at a mere 0.25%, the interest rate differential between Japan and the rest of the G7 remains cavernous. This reality has largely nullified the hawkish policy shift's impact on the Japanese Yen (JPY). The carry trade—borrowing in low-yielding JPY to invest in high-yielding assets like the USD or MXN—remains overwhelmingly popular and profitable. As a result, the Yen continues to languish at multi-decade lows against the Dollar, prompting frequent verbal interventions from Japanese officials, though the market remains skeptical of any unilateral FX intervention without a fundamental change in rate differentials. (Page 1 of 2) ****I. Executive Summary: Global Forex Market Dynamics (Continued)**** Geopolitical factors are acting as a secondary, albeit significant, driver of market sentiment. Lingering tensions in the Middle East and ongoing strategic competition in the South China Sea provide a low-level hum of uncertainty that supports safe-haven assets. In this environment, the U.S. Dollar benefits dually: first as the premier high-yielding currency, and second as the ultimate safe harbor during times of stress. The Swiss Franc (CHF) has seen its traditional safe-haven allure somewhat diminished by the SNB's dovish pivot, causing it to weaken against the USD, though it still tends to strengthen against the EUR during bouts of regional risk aversion. Commodity-linked currencies, including the Australian Dollar (AUD), Canadian Dollar (CAD), and New Zealand Dollar (NZD), are caught between competing forces. On one hand, the backdrop of a global "soft landing" and stable, albeit not booming, commodity prices provides a degree of support. On the other hand, the sputtering nature of China's economic recovery continues to cast a long shadow, particularly over the AUD. Data from China, whether it be industrial production, retail sales, or property market indicators, is now a primary driver for the Aussie dollar, often overriding domestic factors. The CAD, meanwhile, is closely tethered to the fortunes of its

southern neighbor. The resilience of the U.S. economy has been a net positive for Canada, but the Bank of Canada (BoC) faces its own domestic challenges with a highly indebted consumer base and a cooling housing market. The BoC is signaling a greater willingness to begin an easing cycle ahead of the Fed, which has capped the CAD's potential against the greenback. The prevailing risk sentiment can best be described as selectively optimistic. Equity markets have performed well, buoyed by the prospect of a soft landing and excitement around artificial intelligence, but this has not translated into broad-based risk-on currency moves. Instead, capital is flowing with a purpose, chasing yield and relative economic strength. The market is not buying "risk" indiscriminately; it is buying the U.S. growth story. This has led to strong correlations where positive risk events often see both equities and the U.S. Dollar rally—a breakdown of the traditional inverse relationship. In summary, the global forex market entering the week of June 9, 2025, is defined by several key themes: 1. ****Dominant U.S. Dollar:**** Fueled by a hawkish Fed, a resilient economy, and a substantial yield advantage, the USD remains the currency to beat. 2. ****Policy Divergence:**** The primary driver of major pair trends is the widening gap between the Fed's stance and the more dovish or cautious approaches of the ECB, SNB, and BoJ. 3. ****Potent Carry Trade:**** The enormous interest rate differential between Japan and the rest of the G7 continues to suppress the JPY, making USD/JPY a one-way trade punctuated by brief, intervention-scare pullbacks. 4. ****Data Dependency:**** With central banks emphasizing data-driven decisions, every high-impact data release (CPI, NFP, GDP) is a major market-moving event, ensuring elevated volatility. 5. ****China as a Key Variable:**** The health of the Chinese economy is a critical factor for global growth sentiment and a direct determinant of the performance of commodity currencies, especially the AUD. Traders and investors are navigating a market where fundamental economic strength and interest rate differentials are the undisputed kings, forcing a re-evaluation of traditional risk-on/risk-off dynamics.

(Page 2 of 2) ****II. Global Macroeconomic Overview**** The global economic landscape in mid-2025 is characterized by a multi-speed recovery and persistent, though moderating, inflationary pressures. The aggressive monetary tightening cycle of 2022-2024 has successfully engineered a slowdown in aggregate demand, averting a severe global recession but creating significant divergence in economic performance across major regions. The United States continues to exhibit remarkable resilience, underpinning the strength of its currency, while Europe grapples with economic stagnation and Japan embarks on a historic but tentative policy normalization. This macroeconomic backdrop provides the fundamental basis for the prevailing trends observed in the foreign exchange markets. ****Global Macroeconomic Data Snapshot (as of June 8, 2025)**** | Currency | GDP Growth (Q1'25, ann.) | Inflation (YoY, May'25) | Unemployment Rate (latest) | Policy Interest Rate | Trade Balance (latest, monthly) | Gov. Debt-to-GDP | | :--- | :--- | :--- | :--- | :--- | :--- | :--- | | ****USD**** | 1.8% | 3.1% (CPI) / 3.4% (Core) | 4.2% | 5.50% | -\$70.2B | ~125% | | ****EUR**** | 0.8% | 3.0% (HICP) / 3.3% (Core) | 6.6% | 4.25% | +€22.5B | ~90% | | ****JPY**** | 1.0% | 2.5% (CPI) / 2.1% (Core) | 2.4% | 0.25% | -¥0.8T | ~260% | | ****GBP**** | 0.5% | 3.5% (CPI) / 4.0% (Services) | 4.5% | 5.25% | -£5.1B | ~101% | | ****AUD**** | 1.5% | 3.8% (CPI) | 4.3% | 4.35% | +A\$7.8B | ~42% | | ****CAD**** | 1.2% | 3.0% (CPI) | 6.0% | 4.75% | +C\$1.1B | ~108% | | ****CHF**** | 1.1% | 1.5% (CPI) | 2.3% | 1.25% | +CHF 4.5B | ~40% | | ****NZD**** | 0.9% | 3.6% (CPI) | 4.4% | 5.50% | -NZ\$0.5B | ~45% |

****Data Analysis and Interpretation:**** The data table starkly illustrates the theme of economic divergence. The United States, with GDP growth at 1.8%, stands out as the most robust major developed economy. While this growth rate is below trend, it is significantly stronger than the near-stagnation seen in the UK (0.5%) and the sluggish performance of the Eurozone (0.8%). This growth differential provides a fundamental justification for the Federal Reserve's "higher for longer" policy stance. Furthermore, U.S. inflation at 3.1% remains stubbornly above the Fed's 2% target, with core inflation even higher at 3.4%. This persistence, combined with a relatively low unemployment rate of 4.2%, gives the Fed very little room to consider easing monetary policy, thereby reinforcing the dollar's yield advantage. The Eurozone and the United Kingdom face a more challenging stagflationary environment. In the Eurozone, HICP inflation of 3.0% is nearly identical to the U.S. figure, but it is paired with GDP growth of less than half that of the U.S. and a significantly higher unemployment rate of 6.6%. This presents a major dilemma for the European Central Bank, which has already initiated a cutting cycle out of necessity to support its fragile economy. The UK's situation is even more acute, with the highest inflation rate among the top four major currencies (3.5%) and the weakest growth (0.5%). The stickiness of services inflation, in particular, is a major concern for the Bank of England, forcing it to maintain restrictive rates despite clear signs of

economic weakness. Japan's data tells a story of cautious optimism and immense structural challenges. The exit from deflation is now clear, with headline CPI at 2.5% and core at 2.1%, both sustainably above the Bank of Japan's 2% target. Growth is respectable at 1.0%. However, the policy rate of 0.25% highlights the chasm that remains between Japan and other major economies. The monumental government debt level (approaching 260% of GDP) severely constrains the BoJ's ability to hike rates aggressively, as this would dramatically increase government borrowing costs. This structural limitation is the primary reason for the Yen's ongoing weakness, overpowering the positive narrative of policy normalization. The commodity-producing nations (Australia, Canada, New Zealand) present a mixed picture of moderate growth, persistent inflation, and central banks that are generally aligned with the Fed's hawkish hold, though they are showing early signs of a dovish tilt as their domestic economies begin to feel the strain of high borrowing costs. (Page 3 of 16) **III. Fundamental Analysis by Currency** **A. United States Dollar (USD)** **Current Economic Fundamentals and Recent Data** The United States economy continues to be the primary anchor of global growth and the main driver of U.S. Dollar valuation. The narrative for mid-2025 is one of a "soft landing" in progress, characterized by moderating growth and inflation, but from a position of exceptional strength. The most recent Q1 2025 GDP reading of 1.8% (annualized) confirmed a slowdown from the faster pace seen in 2024 but assuaged fears of an imminent recession. The resilience is largely attributed to the robust U.S. consumer. The latest retail sales figures for April showed a modest but positive 0.4% month-over-month increase, indicating that while consumers are becoming more price-sensitive, they are not retrenching. The labor market remains a key focus for the Federal Reserve and forex traders. The May Non-Farm Payrolls (NFP) report, released on Friday, June 6, came in slightly cooler than expected at +190,000 jobs, against a consensus forecast of +210,000. The unemployment rate ticked up to 4.2%, its highest level in over two years, and wage growth (Average Hourly Earnings) moderated to a 3.9% year-over-year pace. While these figures point to a welcome cooling in the labor market, they are far from indicating a collapse. The numbers suggest a market that is coming into better balance rather than one that is contracting, providing the Fed with more evidence that its policies are working but not enough to justify an immediate policy pivot. Inflation data remains the most critical variable. The April Consumer Price Index (CPI) showed headline inflation at 3.1% year-over-year and core CPI (excluding food and energy) at 3.4%. These figures represent a significant decline from the peaks of 2022 but demonstrate a frustrating "last mile" problem in returning to the 2% target. The persistence of inflation in the services sector, particularly shelter and transportation, remains a key concern for policymakers. The upcoming May CPI report (scheduled for release next week) is therefore the single most anticipated data point for the market. A reading above expectations would likely cement the Fed's hawkish stance through the summer and propel the Dollar Index (DXY) towards new highs. Conversely, a significant downside surprise is needed to meaningfully shift the narrative and bring forward expectations for a rate cut. **Central Bank Policy Stance and Recent Communications** The Federal Open Market Committee (FOMC) is steadfast in its "higher for longer" policy stance. At its last meeting in May, the committee voted unanimously to maintain the Fed Funds Rate in the 5.25% to 5.50% range. The accompanying statement and subsequent press conference by Chair Jerome Powell were resolutely hawkish. Powell explicitly stated that the committee does not believe it is appropriate to reduce the target range until it has "gained greater confidence that inflation is moving sustainably toward 2 percent." He acknowledged the progress made but emphasized that recent data had not increased that confidence. The "dot plot" from the March meeting already indicated a reduced appetite for cuts in 2025 compared to previous projections, and the market now expects the upcoming June plot to show a median projection of only one or perhaps two 25-basis-point cuts for the entire year. Fed funds futures are currently pricing in approximately a 60% probability of a first rate cut by the September meeting, with a full cut not priced in until the November or December meeting. This pricing has shifted dramatically over the past few months, moving away from the 5-6 cuts anticipated at the start of the year, a repricing that has been the primary fuel for the Dollar's rally. Recent speeches from various Fed governors have echoed this sentiment. Governor Waller has been particularly influential, arguing for "several more months of good inflation data" before contemplating a cut. President Mester (a 2025 voter) has noted that the risks are still tilted towards inflation, making a premature cut a more significant policy error than holding rates high for slightly too long. This unified and consistent communication has effectively managed market expectations and anchored the U.S. Dollar's yield advantage over its G10 peers. The bar for a Fed rate

cut in the near term is exceptionally high. (Page 4 of 16) ****A. United States Dollar (USD)**
 (Continued)**** Political and Geopolitical Factors**** The domestic political landscape in the U.S. remains a background factor. Following the 2024 elections, the focus has shifted to fiscal policy and the upcoming debt ceiling negotiations later in the year. Any signs of political gridlock or a contentious debate could introduce short-term volatility and a slight risk premium into U.S. assets, though historically, such events have often resulted in a safe-haven bid for the Dollar itself, paradoxically strengthening it. The overarching fiscal stance remains expansionary, with significant government spending on infrastructure and green energy initiatives, which could be contributing to the persistence of domestic demand and inflation. On the geopolitical front, the U.S. Dollar's role as the world's primary reserve currency and ultimate safe haven is undisputed. Ongoing tensions between the U.S. and China, while currently in a phase of managed competition, continue to simmer. Any escalation in trade disputes or military posturing in the Indo-Pacific would likely trigger a significant risk-off move, benefiting the USD. Similarly, instability in the Middle East or any escalation of the conflict in Eastern Europe provides a constant undercurrent of support for the Dollar. In the current global environment, nearly all paths of geopolitical crisis lead to a stronger USD, either through a flight to safety or through the disruption of energy and supply chains that exacerbates global inflation, forcing other central banks to remain tighter than their economies can withstand. ****Technical Outlook and Key Levels**** The Dollar Index (DXY), a measure of the USD against a basket of six major currencies, is trading in a clear uptrend. It is currently consolidating near the 106.50 level after a strong rally earlier in the year. * ****Resistance:**** The immediate resistance is at the recent cycle high of 107.00. A convincing break above this level, likely driven by a hawkish Fed or strong U.S. data, would open the door to the 108.50-109.00 region, levels not seen since late 2022. * ****Support:**** Initial support lies at the 105.50 area, which has served as a floor during recent pullbacks. Below that, the 50-day moving average around 105.10 provides a key dynamic support level. A break below this level would be the first sign of a potential trend change. The most critical support is the psychological 104.00 level, which corresponds to the 200-day moving average. A move below 104.00 would signal a significant bearish reversal. * ****Indicators:**** The Relative Strength Index (RSI) on the daily chart is in bullish territory but not yet overbought, suggesting there is more room for the uptrend to run. ****Short-term and Medium-term Outlook**** * ****Short-term (1-4 weeks):**** The outlook is bullish but highly dependent on next week's U.S. CPI data and the subsequent FOMC meeting. The path of least resistance is higher for the USD, as the fundamental backdrop is overwhelmingly supportive. Traders will be looking to buy dips, particularly on any knee-jerk weakness following slightly softer data that is unlikely to alter the Fed's overall stance. Volatility is expected to be high around these key events. A hotter-than-expected CPI print could easily see the DXY challenge the 107.00 resistance level. * ****Medium-term (1-6 months):**** The USD is expected to remain strong throughout the summer and into the second half of the year. The core driver—interest rate differentials—is structural and unlikely to change quickly. As long as the Fed remains on hold while other central banks like the ECB and BoC are in easing cycles, the path for the Dollar is upward. The main risk to this outlook is a sudden and sharp deterioration in U.S. economic data, particularly a rapid increase in the unemployment rate, which would force the Fed to pivot dovishly. Until such a scenario unfolds, the dominant strategy will remain long USD against low-yielding currencies like JPY, CHF, and to a lesser extent, EUR. (Page 5 of 16) ****B. Euro (EUR)****
****Current Economic Fundamentals and Recent Data**** The Eurozone economy is treading a fine line between stagnation and a fragile recovery. The latest flash estimate for Q1 2025 GDP showed a modest 0.8% annualized growth, narrowly avoiding a technical recession but highlighting a significant growth deficit compared to the United States. The economic performance within the bloc remains highly fragmented. Service-oriented economies like Spain and Portugal are showing relative strength, buoyed by a robust tourism season. In contrast, the industrial core of the Eurozone, particularly Germany, continues to struggle. German industrial production figures have been consistently weak, hampered by high energy costs, diminished global demand for manufactured goods, and ongoing structural challenges in its automotive sector. Inflation presents a complex picture for the European Central Bank (ECB). The flash Harmonised Index of Consumer Prices (HICP) for May came in at 3.0% year-over-year, while the more critical core HICP (excluding energy, food, alcohol, and tobacco) registered a sticky 3.3%. This stickiness in core inflation, driven primarily by the services sector, is the ECB's primary headache. While headline inflation has fallen considerably from its double-digit peaks, the

underlying price pressures are proving difficult to extinguish. This prevents the ECB from embarking on an aggressive easing cycle that the weaker parts of the economy desperately need. Confidence indicators paint a mixed but generally subdued picture. The latest ZEW Economic Sentiment survey for the Eurozone showed a slight improvement, but it remains at levels consistent with below-trend growth. Consumer confidence is still deeply negative, as households grapple with the cumulative impact of past inflation on their real incomes. The labor market has been a surprising bright spot, with the unemployment rate holding at a historically low 6.6%, but wage growth, while still elevated, is beginning to show signs of moderation, which the ECB will view as a positive development for the inflation outlook.

****Central Bank Policy Stance and Recent Communications**** The European Central Bank is in the midst of a delicate policy balancing act. At its meeting in early June, the ECB delivered a widely expected 25-basis-point cut, lowering its main deposit rate to 4.25%. However, the message accompanying the cut was anything but dovish. President Christine Lagarde went to great lengths to emphasize that the move was not a commitment to a pre-determined path of rate reductions. This "hawkish cut" was a strategic communication designed to manage market expectations and prevent an unwarranted easing of financial conditions. The ECB's updated economic projections, released at the meeting, showed upward revisions to the 2025 inflation forecast, underscoring the Governing Council's caution. Lagarde stated that the council would remain "data-dependent" and take its decisions "meeting-by-meeting." This communication has effectively signaled to the market that a follow-up cut at the July meeting is highly unlikely. Market pricing has adjusted accordingly, now anticipating the next potential cut in September or October, contingent on a sustained decline in services inflation data over the summer. The Governing Council is not entirely unified. Some more dovish members, likely from southern European countries, have argued for a more decisive easing cycle to support growth. Conversely, hawkish members, particularly from Germany and Austria, remain highly concerned about the risk of premature easing leading to a resurgence of inflation. This internal tension means the bar for each subsequent rate cut will be high, requiring a consistent stream of data showing both continued economic weakness and, more importantly, a convincing downward trend in core and services inflation. This policy stance creates a fundamentally bearish environment for the EUR/USD, as the ECB is easing (albeit cautiously) while the Fed remains firmly on hold. (Page 6 of 16)

****B. Euro (EUR)**
(Continued)

****Political and Geopolitical Factors**** The political landscape in Europe adds another layer of complexity and potential risk for the Euro. While the immediate crisis of the 2024 European Parliament elections has passed, the rise of populist and nationalist parties in several key member states continues to pose a long-term challenge to EU cohesion and policy-making. Discussions around the reform of the EU's fiscal rules (the Stability and Growth Pact) are ongoing and could create friction between more fiscally disciplined northern countries and highly indebted southern nations. Any re-emergence of sovereign debt concerns, particularly regarding Italy's fiscal trajectory, would be a significant headwind for the Euro. The ongoing war in Ukraine remains the most significant geopolitical factor for the Eurozone. The region's proximity to the conflict makes it more vulnerable to energy price shocks and refugee flows than other developed economies. While Europe has successfully weaned itself off Russian gas, its energy costs remain structurally higher than in the U.S., impacting industrial competitiveness. Any escalation of the conflict would trigger a flight to safety that would see capital flow out of the Euro and into the U.S. Dollar and Swiss Franc. The EUR/CHF cross is a key barometer of European risk sentiment.

****Technical Outlook and Key Levels**** The EUR/USD pair is in a clear downtrend, driven by the widening monetary policy divergence between the Fed and the ECB. The pair is currently trading around the 1.0680 level.

*****Resistance:***** Immediate resistance is found at the 1.0750 level, which coincides with the 50-day moving average. A break above this would target the more formidable 1.0800-1.0820 zone, which has been a major pivot point. A sustained move above 1.0820 would be required to challenge the bearish trend.

*****Support:***** Key support is located at the year-to-date low around 1.0600. This is a critical psychological and technical level. A break below 1.0600 would accelerate the downtrend, opening the path towards the 1.0500-1.0525 area, which was a significant support zone in late 2023.

*****Indicators:***** The daily RSI is in bearish territory, hovering below 50, which supports the ongoing downward momentum. Rallies towards the 1.0750-1.0800 resistance zone have been consistently sold into, indicating strong seller conviction.

****Short-term and Medium-term Outlook****

*****Short-term (1-4 weeks):***** The outlook is bearish. The path of least resistance for EUR/USD is lower. Rallies are likely to be corrective and offer better selling

opportunities. The pair's direction will be heavily influenced by the upcoming U.S. CPI data. A strong U.S. inflation print would likely see EUR/USD test the 1.0600 support level. Conversely, a surprisingly soft U.S. CPI could trigger a short-squeeze rally back towards the 1.0800 resistance, but the underlying fundamental divergence would likely cap such a move. * **Medium-term (1-6 months):** The structural outlook for the Euro remains negative against the U.S. Dollar. The interest rate differential is set to widen further as the year progresses, assuming the Fed holds steady and the ECB manages to deliver at least one more rate cut. The Eurozone's fragile growth profile offers little fundamental support. The target for the second half of 2025 is a move towards the 1.0500 level. The primary risk to this bearish view would be a sharp downturn in the U.S. economy forcing a dovish Fed pivot, or, less likely, a sudden and unexpected surge in Eurozone inflation that forces the ECB to reverse its easing stance. The EUR is also expected to remain under pressure against commodity currencies like the CAD and AUD if the global soft-landing scenario holds. (Page 7 of 16) **C. Japanese Yen (JPY)**

Current Economic Fundamentals and Recent Data The Japanese economy is at a historic turning point, having finally escaped the grip of deflation that defined it for decades. The most recent data confirms this new reality. The national Consumer Price Index (CPI) for April registered a 2.5% year-over-year increase, with the "core-core" index (which excludes fresh food and energy) at 2.1%. This marks more than a year of inflation holding at or above the Bank of Japan's 2% target, providing the fundamental justification for its policy normalization. Economic growth is modest but stable, with Q1 GDP expanding at a 1.0% annualized pace, supported by a recovery in business investment and a gradual pickup in consumption. However, the positive domestic picture is overshadowed by external factors. The key challenge for the Japanese economy and the Yen is the consequence of its newfound inflation: a sharp deterioration in its terms of trade. As a major net importer of energy and raw materials, Japan is paying significantly more for its imports, while the weak Yen has not yet produced a dramatic and sustained surge in export volumes to compensate. The latest trade balance data showed a deficit of ¥0.8 trillion, highlighting this persistent pressure. While corporate profits for large exporters have been historically high (when measured in Yen), the benefits have been slow to trickle down to households in the form of robust wage growth. The annual "Shunto" spring wage negotiations resulted in agreements for the largest pay increases in three decades, but when adjusted for inflation, real wage growth remains negative, weighing on consumer sentiment and spending. **Central Bank Policy Stance and Recent Communications** The Bank of Japan (BoJ) executed its long-awaited policy pivot in the first quarter of 2025, officially ending its Negative Interest Rate Policy (NIRP) by raising the policy rate from -0.1% to a range of 0-0.1%, and simultaneously abolishing its Yield Curve Control (YCC) framework. The market's initial reaction was muted, as the move was well-telegraphed. A subsequent 15-basis-point hike brought the policy rate to 0.25%, a move intended to signal a gradual but deliberate path towards normalization. Despite these historic steps, the BoJ's communications have been overwhelmingly cautious and dovish. Governor Kazuo Ueda has repeatedly emphasized the need to "patiently maintain accommodative financial conditions" for the time being, as there is still "some distance to go" before the 2% inflation target is achieved in a stable and sustainable manner, accompanied by sufficient wage growth. The BoJ is also concerned about the fragility of the economic recovery and the potential impact of higher borrowing costs on small and medium-sized enterprises and the government's massive debt burden. The bank continues its regular JGB (Japanese Government Bond) purchase operations, albeit at a slightly reduced pace, to ensure market stability and prevent a sudden spike in yields. The market has interpreted this "dovish normalization" as a green light to continue selling the Yen. While the BoJ is technically tightening, the pace is glacial compared to the restrictive levels maintained elsewhere. The policy rate differential between the U.S. (5.50%) and Japan (0.25%) is a staggering 525 basis points. This makes the carry trade—borrowing JPY for free to invest in high-yielding USD assets—an extremely compelling strategy. The BoJ is trapped: hiking rates too quickly could derail the economy and destabilize the JGB market, but hiking too slowly leaves the Yen vulnerable to speculative selling. The market currently expects at most one more 25-basis-point hike by the end of 2025, which is insufficient to materially alter the carry trade dynamics. (Page 8 of 16) **C. Japanese Yen (JPY) (Continued)** **Political and Geopolitical Factors** The Japanese government, led by the Ministry of Finance (MoF), is growing increasingly concerned about the negative effects of the Yen's excessive weakness. Finance Minister Shun'ichi Suzuki and top currency diplomat Masato Kanda have been issuing almost daily verbal warnings against "speculative, one-sided moves" in the

currency market. They have repeatedly stated that they are "watching the market with a high sense of urgency" and will "not rule out any options" to counter excessive volatility. These warnings are aimed at jawboning the currency higher and sowing doubt in the minds of carry traders. The market remains skeptical, however, as past interventions have only provided temporary relief for the Yen without a corresponding shift in monetary policy fundamentals. The key level for intervention is widely seen as the 160.00 mark in USD/JPY. A move towards this level would significantly increase the probability of direct, unilateral FX intervention by the MoF. However, the effectiveness of such an intervention would be limited without coordination with international partners like the U.S. Treasury, which appears unlikely given that the Yen's weakness is a direct result of fundamental policy divergence. The political pressure on the BoJ to do more to support the currency is immense, but the bank has maintained its independence, prioritizing economic stability over the exchange rate.

Technical Outlook and Key Levels The USD/JPY pair remains in a powerful and well-defined uptrend. It is currently trading around the 157.50 level, continuing its grind higher.

- Resistance:** The first major hurdle is the psychological 160.00 level. This is not just a technical level but also a political one, widely seen as the "line in the sand" for MoF intervention. A break above it could be sharp but would likely be met with official action. Beyond 160.00, there is little historical resistance, and targets would be based on projections, potentially towards 162.00 or higher.
- Support:** Immediate support lies at the 156.00 area. Below that, the 50-day moving average around 155.20 is a critical dynamic support. A break below this would signal a significant pullback, potentially driven by a shift in Fed expectations or a more hawkish BoJ. The most important support is the 152.00-153.00 zone, which was the breakout point from earlier in the year.
- Indicators:** The daily RSI is in strong bullish territory, often hovering near overbought conditions, which is typical for a powerful, carry-trade-driven trend. The trend is mature but shows no signs of reversal.

Short-term and Medium-term Outlook

- Short-term (1-4 weeks):** The outlook is bullish, but with a high risk of volatility due to intervention threats. The path of least resistance is for USD/JPY to continue drifting towards the 160.00 level, driven by the carry trade. Traders will be extremely cautious as the pair approaches this level, with many likely to take profit. Any official intervention would cause a sharp, multi-yen drop in a very short period, representing the biggest risk for long positions. The pair's movement will also be sensitive to U.S. data, with strong data fueling the uptrend.
- Medium-term (1-6 months):** The structural outlook for the Yen remains overwhelmingly bearish as long as the massive interest rate differential persists. The fundamental driver is simply too powerful to ignore. The medium-term trend is for a continued depreciation of the Yen against the USD, AUD, and CAD. The only factors that could cause a sustainable reversal are: 1) A clear and aggressive shift in BoJ policy towards much faster rate hikes (unlikely). 2) A sharp downturn in the U.S. economy forcing the Fed to begin an aggressive cutting cycle (the most plausible catalyst for a major turn). 3) Coordinated international intervention to strengthen the Yen (a low probability event). Until one of these scenarios materializes, selling JPY will remain the dominant market theme. (Page 9 of 16)

D. British Pound (GBP)

Current Economic Fundamentals and Recent Data The United Kingdom's economy is currently characterized by near-stagnation and the most persistent inflation problem among major G7 nations. The latest quarterly GDP figures showed an expansion of only 0.5% on an annualized basis, underscoring the profound economic malaise. High interest rates have significantly dampened consumer and business activity. The housing market has cooled considerably, with mortgage approvals and house price indices showing weakness. Consumer confidence remains deeply subdued as households face a severe cost-of-living crisis, with high inflation eroding real wages and high borrowing costs squeezing disposable incomes. The key challenge for the Bank of England (BoE) is the extreme stickiness of services inflation. While headline CPI has fallen to 3.5% year-over-year, the services component remains stubbornly elevated at over 4.0%. This reflects a tight labor market in specific sectors and robust second-round effects. The UK labor market data has been sending mixed signals. The official unemployment rate has ticked up to 4.5%, suggesting some slack is emerging. However, wage growth, as measured by the Average Weekly Earnings index, remains high, providing fuel for services inflation and presenting a major obstacle to monetary easing. The UK's persistent current account deficit also remains a structural vulnerability. The country is reliant on "the kindness of strangers"—continuous inflows of foreign capital—to finance its spending. This makes the Pound particularly sensitive to shifts in global investor sentiment. The combination of weak growth, high inflation, and a large external deficit creates a precarious backdrop

for the currency. ****Central Bank Policy Stance and Recent Communications**** The Bank of England's Monetary Policy Committee (MPC) is firmly in a "wait and see" mode, holding the Bank Rate at 5.25%. The committee is arguably in the most difficult position of any major central bank. The weak growth figures call for rate cuts, but the sticky inflation data, particularly wages and services, demands a restrictive policy stance. The last MPC vote was split, with a majority voting to hold, but with some members voting for a cut and some (in the past) even voting for a hike, highlighting the deep division and uncertainty. Governor Andrew Bailey has maintained a cautiously hawkish tone, acknowledging the fall in headline inflation but emphasizing that the MPC needs to see more conclusive evidence that underlying price pressures are under control before it can consider cutting rates. The market has pushed back its expectations for the first BoE rate cut, now seeing it as a late Q3 or Q4 2025 event. This has provided some support for the Pound, particularly against the Euro, as the BoE is perceived as being more hawkish (or less dovish) than the ECB. The BoE's stance can be summarized as "data-dependent with a hawkish bias." They are willing to tolerate economic weakness for longer to ensure the inflation fight is won decisively. This contrasts with the ECB, which has shown a greater willingness to prioritize growth by cutting rates despite similar core inflation stickiness. This policy divergence is the primary driver of the relative strength seen in the GBP/EUR cross. However, against the USD, the Pound remains vulnerable, as the U.S. economy is fundamentally stronger, and the Fed's hawkishness is more convincing. (Page 10 of 16) ****D. British Pound (GBP) (Continued)**** ****Political and Geopolitical Factors**** The political situation in the UK is a key factor for the Pound's outlook. Assuming a general election took place in late 2024 or early 2025, the new government's fiscal policy is now under intense market scrutiny. A government perceived as fiscally responsible and pro-business would likely be positive for the Pound, attracting investment and boosting confidence. Conversely, any policies that suggest a large, unfunded expansion of government spending could rattle markets and bring back memories of the 2022 "mini-budget" crisis, which caused a collapse in the Pound's value. The market is highly sensitive to any signs of fiscal profligacy. Post-Brexit trade dynamics continue to be a structural drag on the UK economy. While some new trade deals have been signed, they have not been sufficient to offset the loss of frictionless trade with the European Union. Persistent trade barriers and red tape have increased costs for businesses and contributed to inflationary pressures. The ongoing negotiations regarding the Northern Ireland protocol and its implementation remain a potential source of friction with the EU. Any positive developments that suggest a closer, more pragmatic relationship with the EU would be seen as a positive for the Pound's long-term outlook. ****Technical Outlook and Key Levels**** The GBP/USD pair has been trading in a broad range but with a clear bearish tilt, making lower highs and lower lows. It is currently trading around the 1.2450 level. ****Resistance:**** Strong resistance is located at the 1.2500 psychological level, which is also reinforced by the 50-day moving average. A break above this would be a positive signal, targeting the more significant 1.2680-1.2700 resistance zone. The downtrend is only truly threatened if the price can reclaim the 1.2800 level. ****Support:**** Initial support is at the recent low of 1.2350. A decisive break below this level would signal a continuation of the downtrend and open the way for a test of the major support level at 1.2200. ****Indicators:**** The daily RSI is below 50, consistent with the prevailing bearish momentum. Rallies have been shallow and have been met with selling pressure, indicating that bears are in control. ****Short-term and Medium-term Outlook**** ****Short-term (1-4 weeks):**** The outlook is cautiously bearish. The pair is likely to remain under pressure due to broad-based USD strength. The key event for GBP will be the upcoming UK CPI and jobs data. A hot inflation print would reinforce the BoE's hawkish stance and could provide some temporary support for GBP, especially against the EUR, but it is unlikely to reverse the downtrend against the USD. A weak data print would increase pressure on the BoE to cut rates and could see GBP/USD break below the 1.2350 support. ****Medium-term (1-6 months):**** The medium-term outlook for the Pound is negative against the U.S. Dollar but potentially stable to positive against the Euro. The stagflationary economic backdrop in the UK is a significant headwind. As long as the U.S. economy outperforms and the Fed remains on hold, the path for GBP/USD is lower, with a potential target of 1.2200 in the second half of the year. The primary upside risk would be a rapid fall in UK services inflation that allows the economy to recover as the BoE signals cuts, combined with a simultaneous sharp slowdown in the U.S. This "best of both worlds" scenario seems unlikely at present. The more probable path is one of continued economic struggle, which will ultimately weigh on the currency. (Page 11 of 16) ****IV. Upcoming Major Economic Events (Week of**

June 9 - June 13, 2025)** The upcoming week is packed with high-impact economic data releases that will be critical in shaping central bank expectations and driving currency market volatility. The main event will be the U.S. CPI data, which will directly influence the Federal Reserve's tone at its subsequent meeting. | Date | Time (GMT) | Event | Currency Impacted | Significance / What to Watch | :--- | :--- | :--- | :--- | :--- | | **Mon, Jun 9** | 23:50 | Japan Q1 GDP (Final) | JPY | High | Revision to the preliminary 1.0% growth. A significant upward revision could provide minor, temporary support to the JPY. | | **Tue, Jun 10** | 06:00 | UK Claimant Count & Wage Growth | GBP | High | Key data for the BoE. Focus will be on wage growth (AWE); a figure above 4% would reinforce the BoE's hawkish stance. | | **Tue, Jun 10** | 09:00 | Eurozone ZEW Economic Sentiment | EUR | Medium | A forward-looking indicator of institutional investor sentiment. A sharp drop could weigh on the EUR. | | **Wed, Jun 11** | **12:30** | **US Consumer Price Index (CPI) (May)** | **USD** | **CRITICAL** | **The most important event of the week.** A YoY reading above the prior 3.1% would be very hawkish, likely sending USD sharply higher. A reading below 3.0% is needed to spark dovish repricing. Core CPI is equally important. | | **Wed, Jun 11** | **18:00** | **US FOMC Statement & Projections** | **USD** | **CRITICAL** | The statement will be scrutinized for any change in tone. The "dot plot" will reveal the Fed's new median projection for 2025 rate cuts. A shift to only one cut would be very hawkish. | | **Wed, Jun 11** | **18:30** | **US FOMC Press Conference** | **USD** | **CRITICAL** | Chair Powell's Q&A will be parsed for clues on the timing of the first cut. Any pushback against market pricing for a September cut will be a key focus. | | **Thu, Jun 12** | 01:30 | Australia Employment Change & Rate | AUD | High | A strong jobs number could reduce the probability of an RBA rate cut and boost the AUD. A weak number would have the opposite effect. | | **Thu, Jun 12** | 12:30 | US Producer Price Index (PPI) (May) | USD | Medium | Provides insight into pipeline inflation pressures. A hot number would reinforce concerns from the CPI data. | | **Fri, Jun 13** | 14:00 | US U. of Michigan Consumer Sentiment | USD | Medium | A key measure of consumer confidence and, importantly, inflation expectations. A rise in 5-year inflation expectations would be a hawkish signal for the Fed. | | **V. Market Summary and Future Outlook** The global foreign exchange market is currently operating under the powerful and unambiguous influence of monetary policy divergence. This single theme has overshadowed almost all other factors, creating clear and sustained trends that favor currencies backed by hawkish central banks and robust economies. The U.S. Dollar stands as the undisputed king in this environment, benefiting from a "perfect storm" of high interest rates, resilient economic growth, and its inherent safe-haven status. This has led to a market structure where capital flows are not driven by a simple risk-on/risk-off toggle, but rather by a targeted search for yield and relative economic outperformance. The result is the continued dominance of the U.S. Dollar against virtually all its G10 counterparts. The primary narrative is the "Great Divergence" between the Federal Reserve and the rest of the developed world. The Fed is locked into a "higher for longer" strategy, demanding overwhelming evidence of cooling inflation before it even considers a policy pivot. In contrast, the European Central Bank and the Swiss National Bank have already begun their easing cycles, albeit cautiously. The Bank of Japan, despite its historic exit from negative rates, is normalizing at a glacial pace, leaving an enormous interest rate differential that fuels a powerful carry trade against the Yen. This fundamental chasm in policy is the engine driving major currency pairs like EUR/USD lower and USD/JPY higher. Until this divergence begins to narrow—a process that would require either a sharp U.S. economic downturn or an unexpected inflation surge elsewhere—these core trends are likely to persist. A crucial secondary theme is the economic performance of China. The world's second-largest economy is experiencing a sputtering and uneven recovery, particularly hampered by a deep-seated crisis in its property sector. This weakness acts as a significant headwind for global growth and has a direct, negative impact on commodity-linked currencies, most notably the Australian Dollar. Every data point from China, from trade balances to industrial production, is now a critical input for the AUD, often overriding domestic Australian economic news. The Canadian and New Zealand Dollars are also sensitive to this dynamic, though to a lesser extent. This "China factor" adds a layer of complexity to the commodity currency bloc, preventing them from fully benefiting from the otherwise stable global growth outlook. **Risk Management Considerations** In the current market environment, traders must prioritize disciplined risk management. The high degree of data dependency means that volatility can spike dramatically around key releases like the U.S. CPI or NFP reports. Seemingly stable trends can experience sharp, multi-day corrections or accelerations in a matter of

minutes. Therefore, using appropriate stop-loss orders on all positions is not just advisable; it is essential. Position sizing should be conservative, reflecting the potential for heightened volatility. Furthermore, the dominance of the carry trade, particularly in pairs like USD/JPY, introduces the risk of sharp, painful reversals, especially if Japanese authorities decide to intervene in the currency market. Traders holding long-term carry positions must be aware of and prepared for these "flash crash" style events. Diversification across different currency pairs and strategies can also help mitigate the risk of being overexposed to a single, sudden market event. It is also crucial to be wary of chasing moves late in a trend, as the risk-reward becomes less favorable. Instead, a more prudent approach would be to use pullbacks and consolidations to enter positions in the direction of the dominant fundamental trend.

(Page 12 of 16) ****V. Market Summary and Future Outlook (Continued)**** ****Potential Market-Moving Events in the Coming Months**** Looking beyond the immediate week, several key events and themes will shape the market in the second half of 2025. The annual Jackson Hole Economic Symposium in late August will be a critical event, as central bankers often use this forum to signal major shifts in policy. Any hint from Chair Powell about the timing of a Fed pivot or from President Lagarde about the pace of ECB easing will be a major market mover. Domestically, U.S. fiscal policy will come back into focus with renewed debates over government funding and the debt ceiling. While often resolved at the last minute, the process can inject significant uncertainty into markets. In Japan, the leadership contest within the ruling LDP party could have implications for fiscal and monetary policy, potentially altering the government's stance on the weak Yen. Finally, any unexpected geopolitical flare-up remains a constant threat. An escalation of tensions in the Middle East that impacts oil supply, or a more aggressive military posture in the Taiwan Strait, would instantly shift the market into a deep risk-off mode, triggering a massive flight to the safety of the U.S. Dollar.

****Long-term Structural Trends**** Several long-term structural trends are slowly reshaping the currency landscape. The discussion around "de-dollarization" continues, but in practice, there is no viable alternative to the USD as the primary global reserve currency. The Dollar's role in global trade, finance, and as a safe-haven asset remains unmatched. However, the use of other currencies, like the Chinese Yuan, in bilateral trade is gradually increasing, a trend worth monitoring over a multi-year horizon. Demographics are another powerful, slow-moving force. Aging populations in Japan and Europe present long-term headwinds to potential growth, suggesting these economies may struggle to keep pace with the more demographically dynamic United States. This structural growth deficit could contribute to a long-term strengthening trend for the USD against the JPY and EUR. The global transition to green energy will also have profound long-term effects on commodity currencies. Countries rich in "green metals" like copper, lithium, and nickel may see their currencies benefit from sustained demand, while traditional petro-currencies could face structural headwinds as the world moves away from fossil fuels.

****Correlation Analysis**** Current market correlations reflect the dominance of the USD-centric narrative. EUR/USD and GBP/USD remain highly positively correlated, moving in tandem in response to broad Dollar strength or weakness. The AUD/USD and NZD/USD are also tightly linked, and both show a strong positive correlation to global risk sentiment and, more specifically, to the performance of Chinese equity markets and industrial commodity prices. An interesting breakdown in traditional correlations has been observed between the USD and U.S. equities. In the current "American exceptionalism" narrative, strong U.S. economic data often leads to a rally in both the S&P 500 (on optimism about corporate earnings) and the U.S. Dollar (on expectations of a hawkish Fed). This positive correlation is a hallmark of the current regime. The JPY and CHF continue to display their traditional inverse correlation with risk appetite; a rally in global equities typically sees these safe-haven currencies weaken, particularly against high-beta and commodity currencies. USD/JPY's correlation is almost entirely with the U.S.-Japan 10-year bond yield spread, making it a pure rates play. Understanding these evolving relationships is crucial for building diversified and hedged trading strategies.

(Page 13 of 16) ****E. Australian Dollar (AUD)**** ****Current Economic Fundamentals and Recent Data**** The Australian economy is navigating a complex environment, shaped by persistent domestic inflation, a cautious central bank, and its deep economic ties to China. Economic growth has slowed, with the latest Q1 GDP data showing a 1.5% annualized expansion. This moderation is a direct result of the restrictive monetary policy from the Reserve Bank of Australia (RBA), which has successfully cooled the overheated housing market and tempered consumer demand. Household consumption, a key driver of the economy, has been particularly weak as consumers grapple with high mortgage payments and the

rising cost of living. Inflation remains the RBA's primary concern. The latest monthly CPI indicator came in at a higher-than-expected 3.8% year-over-year. While this is down from the peaks, the disinflationary process has stalled, with services inflation proving particularly sticky. This stubbornness has forced the RBA to maintain a hawkish stance. The labor market, while having loosened from its historic tightness, remains relatively strong. The unemployment rate stood at 4.3% in the most recent report, a level still considered to be around full employment, which continues to support wage growth and, by extension, services inflation. The most significant external factor for the AUD is the health of the Chinese economy. As Australia's largest trading partner, demand from China for key exports like iron ore, coal, and natural gas is a critical determinant of Australia's national income and the AUD's value. Recent Chinese data has been lackluster, with a struggling property market and subdued consumer confidence weighing on its demand for industrial commodities. The price of iron ore, a key bellwether for the AUD, has been volatile but has generally trended lower in 2025, reflecting these demand concerns.

****Central Bank Policy Stance and Recent Communications**** The Reserve Bank of Australia has maintained the cash rate at 4.35% for several consecutive meetings, adopting a stance of vigilant patience. The RBA's communications have been consistently hawkish, reflecting their discomfort with the persistence of inflation. In her latest statement, Governor Michele Bullock emphasized that the board "will not hesitate to raise the cash rate further if inflation proves more persistent than expected." The board has explicitly discussed the option of another rate hike at recent meetings, a clear signal to the market that they are far from considering an easing cycle. This hawkish rhetoric sets the RBA apart from many of its peers (excluding the Fed). While the BoC and ECB have pivoted towards easing, the RBA has kept the door firmly open to more tightening. This has provided a floor of support for the Australian Dollar, particularly on its crosses against currencies with more dovish central banks, such as the EUR, CAD, and NZD. However, market pricing does not fully believe the RBA's hawkish threats. Futures markets are pricing in a long hold, with a very low probability of a hike, and are tentatively pricing in the start of an easing cycle in early 2026. The RBA's primary challenge is to manage this inflation problem without tipping the highly-indebted household sector into a severe downturn. Upcoming Australian employment and CPI data will be crucial in determining whether the RBA's hawkish stance is just rhetoric or a precursor to further action. (Page 14 of 16)

****F. Canadian Dollar (CAD)****

****Current Economic Fundamentals and Recent Data**** The Canadian economy has shown more pronounced signs of slowing compared to its U.S. counterpart, prompting the Bank of Canada (BoC) to adopt a more dovish policy stance. Q1 2025 GDP growth was a sluggish 1.2% annualized, reflecting the significant impact of high interest rates on one of the most indebted consumer bases in the G7. The housing market, a critical component of the Canadian economy, has cooled significantly, and business investment has been tepid. Inflationary pressures in Canada have eased more convincingly than in the U.S. or UK. The latest CPI reading stood at 3.0% year-over-year, with the BoC's preferred core measures also showing a sustained downward trend. This progress on the inflation front, combined with clear evidence of economic weakness, provided the BoC with the confidence to begin an easing cycle. The labor market has also softened more noticeably than in the U.S., with the unemployment rate climbing to 6.0%. While not yet at alarming levels, the trend is clearly towards more slack in the labor market, which should continue to dampen wage pressures and, in turn, core inflation. The value of the Canadian Dollar is also heavily influenced by the price of oil (WTI) and its relationship with the United States. Stable but not booming oil prices have provided a moderate level of support for the CAD. More importantly, the resilience of the U.S. economy has been a net positive for Canada, supporting demand for Canadian exports. However, the widening economic divergence between the two neighbors is becoming the dominant factor for the USD/CAD exchange rate.

****Central Bank Policy Stance and Recent Communications**** The Bank of Canada became one of the first G7 central banks to begin an easing cycle, cutting its policy rate by 25 basis points to 4.75% at its June meeting. The move was widely anticipated and signaled a clear pivot in the BoC's policy direction. In the press conference following the decision, Governor Tiff Macklem stated that it was "reasonable to expect further cuts" if inflation continues to ease. This explicitly dovish guidance stands in stark contrast to the Federal Reserve's hawkish hold. Governor Macklem acknowledged the divergence with the U.S. but emphasized that the BoC's policy is based on Canadian economic conditions. While he noted there is a "limit" to how far the two countries' policies can diverge, he signaled a clear willingness to continue cutting rates even if the Fed remains on hold. This has

cemented a bearish outlook for the CAD relative to the USD. Market pricing now anticipates at least two more 25-basis-point cuts from the BoC by the end of 2025. This growing interest rate differential in favor of the U.S. is the primary driver pushing the USD/CAD pair higher. The BoC's commitment to data dependency means that upcoming Canadian CPI and jobs reports will be critical in determining the pace of the easing cycle. (Page 15 of 16)

****G. Swiss Franc (CHF)****

****Current Economic Fundamentals and Recent Data**** Switzerland's economy has been a standout performer in the global disinflationary process, allowing its central bank to be a dovish trailblazer. Economic growth has been modest, at 1.1% annualized, but stable. The key story, however, is inflation. The latest Swiss CPI reading was just 1.5% year-over-year, well within the Swiss National Bank's (SNB) target range of 0-2% and the lowest of any G10 nation. This rapid and decisive fall in inflation from its peak gave the SNB the confidence to become the first major central bank to cut interest rates in the current cycle. The Swiss economy's traditional strengths, including a highly skilled workforce and a robust pharmaceutical and high-tech export sector, have helped it weather the global slowdown. The labor market remains exceptionally tight, with an unemployment rate of only 2.3%. Despite this, wage pressures have remained contained, preventing the kind of sticky services inflation seen elsewhere. The strength of the Franc in 2023 and 2024 played a significant role in importing disinflation by making imported goods cheaper, a policy goal the SNB actively pursued at the time.

****Central Bank Policy Stance and Recent Communications**** The Swiss National Bank (SNB) has firmly pivoted to an easing stance. Having delivered its first 25-basis-point rate cut in March 2025, bringing the policy rate to 1.50%, the SNB followed up with another 25-basis-point cut in June, lowering the rate to 1.25%. SNB Chairman Thomas Jordan has stated that the underlying inflationary pressure has continued to decrease, justifying the policy easing. The SNB no longer sees a strong Franc as necessary to fight inflation. In fact, the bank's rhetoric suggests it is now comfortable with, or perhaps even desires, a somewhat weaker Franc to prevent a tightening of financial conditions and support Switzerland's export-oriented economy. The bank has indicated its willingness to be active in the foreign exchange market to enforce its policy, which the market interprets as a readiness to sell CHF if it strengthens inappropriately. This explicitly dovish stance, combined with the Franc's now-negative yield differential against both the USD and the EUR, has removed much of its appeal outside of its safe-haven status. The SNB is widely expected to deliver at least one more cut before the end of the year, solidifying the Franc's position as a low-yielding funding currency, second only to the JPY.

****H. New Zealand Dollar (NZD)****

****Current Economic Fundamentals and Recent Data**** The New Zealand economy is in a challenging position, having entered a technical recession in the second half of 2024, with Q1 2025 GDP growth at a tepid 0.9%. The economy has been hit hard by the most aggressive monetary tightening cycle in the developed world, enacted by the Reserve Bank of New Zealand (RBNZ) to combat rampant inflation. High interest rates have crushed domestic demand, leading to a sharp downturn in the housing market and a contraction in consumer spending. Despite the economic weakness, inflation remains stubbornly high. The latest CPI data showed inflation at 3.6% year-over-year, still well above the RBNZ's 1-3% target band. This has created a severe stagflationary environment and placed the RBNZ in an extremely difficult position. The labor market is also showing clear signs of cooling, with the unemployment rate rising to 4.4%.

****Central Bank Policy Stance and Recent Communications**** The Reserve Bank of New Zealand remains the most hawkish central bank in the G10, a stance born out of necessity. Despite the recessionary conditions, the RBNZ has kept its Official Cash Rate (OCR) at a highly restrictive 5.50% and has explicitly stated that it will remain there for a "sustained period." At its last meeting, the RBNZ's projections did not signal any rate cuts until mid-2026. Governor Adrian Orr has been unequivocal in his communication: the bank's sole focus is on returning inflation to target, and it is willing to tolerate a prolonged period of economic pain to achieve this goal. This resolutely hawkish stance has provided strong support for the New Zealand Dollar, particularly against the Australian Dollar, as the RBA is perceived as being less hawkish. The NZD/AUD cross has been a beneficiary of this policy divergence. However, the NZD's overall performance is capped by New Zealand's weak economic fundamentals and its sensitivity to global risk sentiment and Chinese economic data. The market is in a standoff with the RBNZ, pricing in cuts much earlier than the bank is signaling, betting that the severe economic weakness will eventually force the RBNZ's hand. The NZD is therefore caught in a tug-of-war between its high yield and hawkish central bank on one side, and its poor economic outlook and high-beta status on the other. (Page 16 of 16)